



How AI masks America's rising risk premium

We show how the rest of the world's concentration in USD assets has become so extreme that an AI setback would likely cause USD depreciation.

- Conventional wisdom says TINA – there is no alternative – to USD assets. We attempt to debunk the assumed robustness of TINA, given the AI boom has masked a rising US risk premium, and as foreign investors have built such a large exposure in USD assets.
- Strikingly, the ratio of US net international investment position (NIIP) liabilities to the sum of all net creditor nations' NIIP assets has surged to 80% – a vivid measure of how concentrated the ROW's savings have been funnelled into USD investments.
- It is true that, during the GFC and pandemic, US NIIP liabilities increased and USD appreciated. We run a simulation to show why it is now more plausible for US NIIP liabilities to decrease: US IIP portfolio liabilities have become so large that moderate percentage declines could now outstrip declines in US IIP portfolio assets, shrinking US NIIP liabilities and depreciating the USD.

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Contents

Executive summary.....	3
Introduction.....	4
Fiscal stress.....	5
The ROW’s extreme concentration risk in USD assets.....	6
The tightening link between US twin deficits.....	8
The AI boom conceals a rising US risk premium.....	9
So, what happens if there is an AI setback?.....	10
Creating a measure of US allies and foes.....	11
Simulating a foreign investor retreat from USD assets.....	12
Conclusion.....	14
Recent Special Reports.....	15
Appendix A-1	16

Executive summary

The Fed has not achieved its inflation target for five years running, and its fiscal and current account deficits have swollen public debt and the net international investment position (NIIP) of liabilities, as shares of GDP, to at, or near, historic highs. International trust in US fiscal, trade and foreign policies and, some would argue, Fed independence, has eroded. All of which raises the question: if trust in US policy is compromised, why are there no clear signs of de-risking from USD assets? We believe the answer is AI. The US sits at the heart of the AI revolution, nowhere more so than in capital markets. US NIIP liabilities (i.e., the ROW's holdings of USD assets) have ballooned because of net capital inflows and extraordinary capital gains from the AI-driven US equity boom.

Extreme concentration in USD assets

Strikingly, we calculate that the ratio of US NIIP liabilities to the sum of all ROW net creditor nations' NIIP assets has surged to 80%, a vivid sign of the concentration of the world's savings that have been funneled into USD investments. However, the USD21.3trn pile of US NIIP liabilities is finally starting to exact a penalty. After more than two decades in surplus, net primary income – net profits, dividends and interest – has flipped to deficits over the last two years. Just as net government interest payments have swelled beyond half the fiscal deficit, the same dynamic may now be starting to play out in the current account, should NIIP liabilities and UST yields keep climbing. The standard rebuttal is that America's superpower status grants it the "exorbitant privilege" to run large deficits and pile up debt indefinitely. However, the symbiosis of rising UST yields feeding the fiscal deficit and now the current account deficit hints that this privilege has limits.

Debunking the assumed robustness of TINA

An intriguing question is what foreign holders of US assets would do in the event of an AI setback. Conventional wisdom says "TINA" – there is no alternative – to USD assets. We attempt to debunk the assumed robustness of TINA, given AI has concealed a rising US risk premium, and as foreign investors have built such a large concentration in USD assets. It is true that, during the GFC and pandemic, US NIIP liabilities increased and USD appreciated, but the main driver was not the ROW increasing investment into the US; rather, US residents repatriated their foreign holdings more aggressively than the ROW repatriated its US holdings (the decrease in US IIP liabilities was dwarfed by the decrease in US IIP assets). That behavior – the sheer scale of US resident repatriation in a crisis – is poorly understood, in our view, yet it is an important reason why the conventional wisdom of TINA to the USD has become so ingrained.

Simulation and findings

We run a simulation to show why it is now more plausible for US NIIP liabilities to decrease: US IIP portfolio liabilities have become so large that moderate percentage declines can now outstrip declines in US IIP portfolio assets, shrinking US NIIP liabilities and depreciating USD. US portfolio assets would need to fall by over 30% – a GFC-scale repatriation – to fully offset the decrease in US IIP portfolio liabilities. As part of the simulation exercise, we also created a measure of US allies and foes. Based on over 5,000 resolutions at the United Nations General Assembly over the 1965-2025 period, we analyze how frequently 190-odd countries voted with or against the US. We find that the share voting with the US has declined noticeably, echoing the erosion of trust in US policies. Mapping our US allies and foes country decomposition to TIC data on foreign holdings of US portfolio assets by country, we find, unsurprisingly, that the foes' group has grown far more slowly than the allies' group: 64% versus 264% from 2012 to 2026.

Introduction

Determined to prolong the US's hegemony in the face of a great power rivalry with China, the Trump administration has made sweeping changes to the world order that the US once built, leaning on its economic and military might to impose tariffs, financial sanctions and other forms of coercion, and deploying its armed forces more assertively. The result is a United States that even its allies now find unpredictable and unreliable. Meanwhile, at home, something closer to a rupture is under way: the administration is more aggressively challenging some of the institutional checks on presidential power, while the politicization of economic decision-making chips away at fiscal prudence and, quite possibly, Fed independence.

Yet, the US remains heavily dependent on foreign capital inflows to finance its persistently large fiscal and current account deficits, which for this year we expect to reach 6.4% and 3.4% of GDP, respectively. Twin deficits of that size cannot continue indefinitely. Decades of accumulation (fiscal since 2002, current account since 1992) have swollen US public debt to USD30.2trn and net international investment liabilities to USD21.9trn in 2025, which as shares of GDP stand at, or near, record levels (Figure 1). These rising debt loads are ticking time bombs, and pressure points are building.

Fig. 1: US public debt and net international investment position



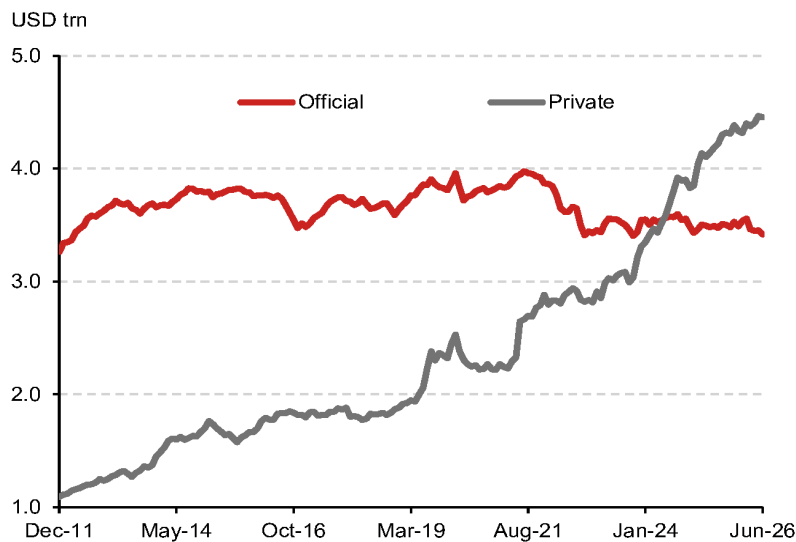
Source: CBO, CEIC and Nomura Global Economics.

Fiscal stress

US fiscal consolidation faces an uphill battle. Cutting back spending on defense, health care and social welfare is politically toxic, at a time when outlays on net interest payments have ballooned to nearly 19% of total revenues, more than half of the fiscal deficit and eclipsing even America's vast defense outlays.

The standard rebuttal is that America's superpower status grants it the "exorbitant privilege" to run large deficits and pile up debt indefinitely. However, the climb in UST yields hints that this privilege has limits. There are several pressure points. The Fed has not achieved its inflation target for five years running. US hyperscalers are ramping up high-grade debt issuance – our credit research team estimates USD250-275bn this year and USD350-400bn in 2027 – crowding out buyers of Treasuries, and the composition of that buyer base is shifting away from the Fed and foreign central banks towards more price-sensitive private investors (Figure 2). Fickle *global hedge funds* alone have increased their share from 4.0% in 2023 to 8.5% in 2025. The Treasury's recent response to rising UST yields – a pledge to at least double its buyback program for long-duration bonds – is activism, not a sustainable solution, in our view, and will likely require increased short-term debt issuance, heightening rollover risks.

Fig. 2: Foreign holding of US long-term treasury bonds



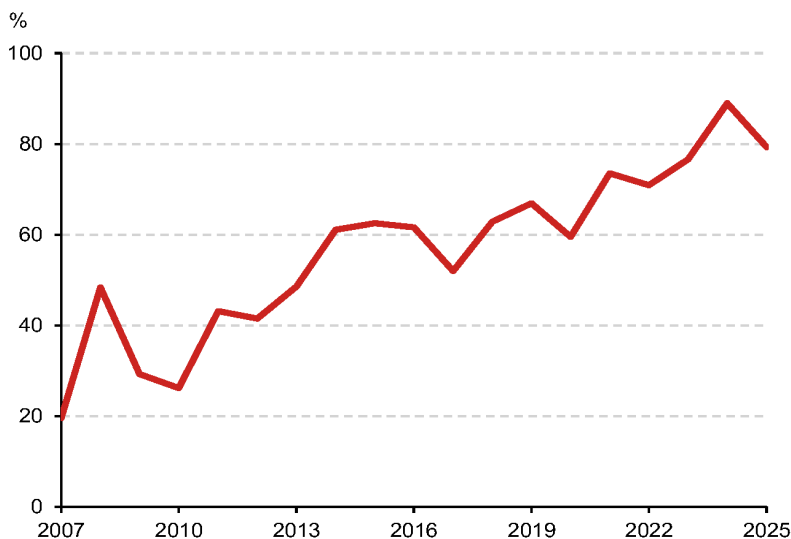
Source: CEIC and Nomura Global Economics.

The ROW's extreme concentration risk in USD assets

Large US fiscal deficits have not been offset by private sector net savings. The result is national net dissaving, and this is why the US runs current account deficits, which have not been excessive (they have ranged between 3-4% of GDP since the pandemic) but they have been persistent: the last surplus was in 1991. The continuous financing by the ROW has swelled the US net international investment position (NIIP) of liabilities to USD21.9trn in 2025, or 71% of GDP.

The scale becomes clearer with a simple exercise. For each year, we identified every country with available data in the ROW holding NIIP assets. Strikingly, the ratio of US NIIP liabilities to the sum of all ROW net creditor nations' NIIP assets has surged to 80% – a vivid measure of the concentration of the world's savings that have been funnelled into USD investments (Figure 3). More striking still: in 2010, US NIIP liabilities matched the NIIP asset holdings of the world's top net creditor nation, Japan. By 2025, it took the top 10 net creditor nations combined to match US NIIP liabilities (Figure 4).

Fig. 3: Ratio of US NIIP liabilities to the sum of ROW's net creditor nations' NIIP assets



Note: We use IMF data for most economies, where available, and use the country source data accessed from CEIC and the external wealth of nations database to supplement for those unavailable. Overall, our sample covers 88 net creditor nations. We omitted some (mostly very small) net creditor nations from the calculation due to lack of consistent data from 2007 to 2025. However, those omitted net creditors only comprise an estimated 1-2% of the sum of all net creditor nations' NIIP assets that we included. Source: IMF, The external wealth of nations database, CEIC and Nomura Global Economics.

Fig. 4: Top 15 net creditor nations' NIIP assets, USD bn

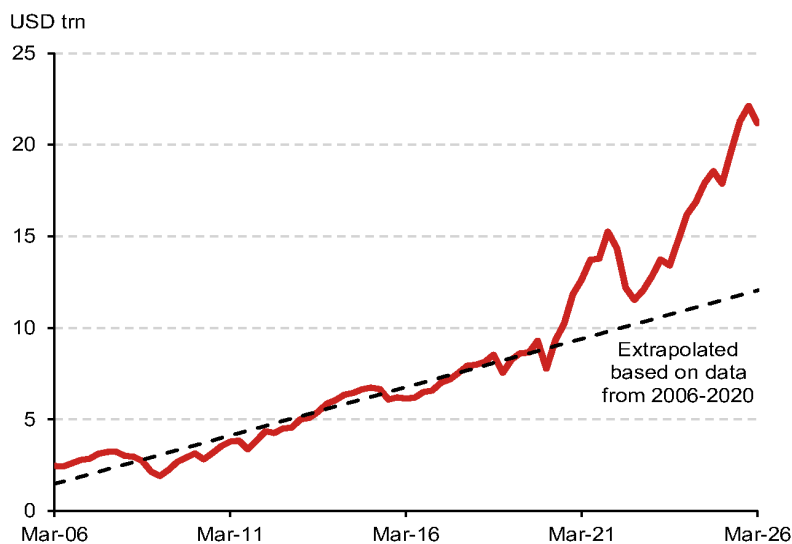
2010			2015			2020			2025		
Rank	Country	NIIP (USD bn)	Rank	Country	NIIP (USD bn)	Rank	Country	NIIP (USD bn)	Rank	Country	NIIP (USD bn)
	United States	-2,511		United States	-7,590		United States	-11,894		United States	-21,874
1	Japan	3,142	1	Japan	2,715	1	Japan	3,474	1	Germany	4,321
2	China	1,478	2	China	1,699	2	Germany	2,729	2	China	4,071
3	Switzerland	744	3	Germany	1,141	3	China	2,287	3	Japan	3,594
4	Germany	721	4	Taiwan	1,089	4	Hong Kong	2,122	4	Hong Kong	2,506
5	Hong Kong	665	5	Hong Kong	1,003	5	Taiwan	1,388	5	Norway	2,099
6	Taiwan	636	6	Saudi Arabia	805	6	Norway	1,138	6	Taiwan	1,350
7	Saudi Arabia	565	7	Norway	705	7	Singapore	1,074	7	Canada	1,219
8	Singapore	512	8	Singapore	647	8	Switzerland	892	8	Switzerland	1,205
9	Norway	387	9	Switzerland	493	9	Canada	884	9	Russia	1,097
10	Belgium	273	10	Russia	339	10	Netherlands	884	10	Singapore	1,082
11	Mauritius	130	11	Canada	323	11	Saudi Arabia	701	11	South Korea	886
12	Venezuela	124	12	Netherlands	209	12	Russia	517	12	Saudi Arabia	721
13	Kuwait	99	13	Belgium	205	13	South Korea	487	13	Netherlands	656
14	Denmark	41	14	South Korea	204	14	Belgium	275	14	Denmark	498
15	Finland	39	15	Algeria	124	15	Denmark	230	15	Sweden	425

Note: We use IMF data for most economies, where available, and use the country source data accessed from CEIC and the external wealth of nations database to supplement for those unavailable. We bold the top net creditor nations where the sum of their NIIP assets exceeds the size of US NIIP liabilities. Source: IMF, The external wealth of nations database, CEIC and Nomura Global Economics.

All of which raise the question: if trust in US policy has eroded so visibly, why are there no clear signs of de-risking from USD assets, beyond the shrinking foreign official share of UST bonds? We believe the answer is AI.

The US sits at the heart of the AI revolution, nowhere more so than in capital markets. Alongside the accumulation of current account deficits (the flip side of which is net capital inflows), US NIIP liabilities have ballooned, largely because of capital gains from the AI-driven US equity boom. The largest and most liquid component of US IIP liabilities is portfolio liabilities (equity and debt securities), which have quadrupled to USD37.4trn in March 2026 from a pre-GFC low of USD9.2trn in March 2009. Within that, the trajectory of US portfolio equity liabilities looks like a structural break since the pandemic, breaking well above its long-run trend (Figure 5).

Fig. 5: US IIP portfolio equity liabilities

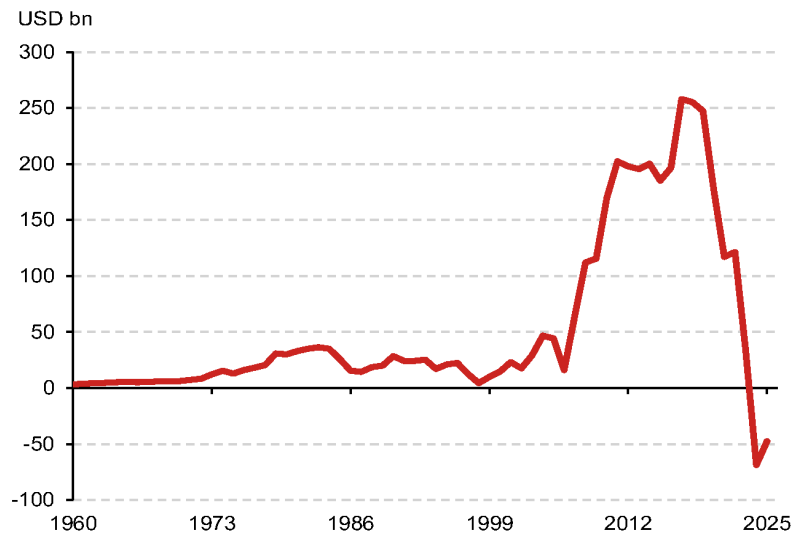


Source: CEIC and Nomura Global Economics.

The tightening link between US twin deficits

The USD21.3trn pile of US NIIP liabilities, as of March 2026, is finally starting to exact a price. For more than two decades, the US has pulled off a remarkable feat: despite being a net debtor, it consistently earned a net primary income surplus – net profits, dividends and interest – without which the current account deficit would have been wider still. That trick failed in 2024 and 2025, as net primary income flipped into deficit (Figure 6).

Fig. 6: US net primary income



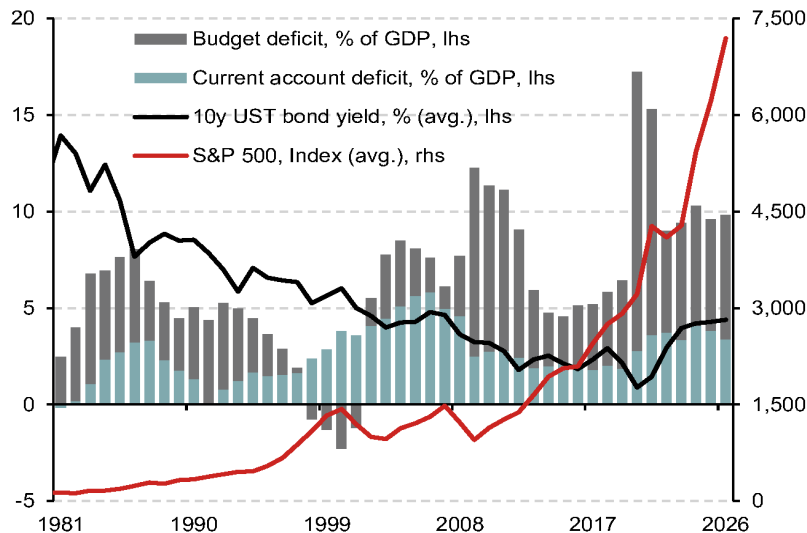
Source: CEIC and Nomura Global Economics.

How did the surplus defy gravity for so long? Because the US earned far higher returns on its FDI and portfolio equity investments abroad than the ROW earned on those investments in the US. In recent years, however, rising UST yields – compounded by America's status as the world's largest net international debtor – have driven a surge in net interest payments that now dwarfs US earnings on net profits and dividends. Just as net government interest payments have swelled beyond half the fiscal deficit, the same dynamic may now be starting to play out in the current account, should NIIP liabilities and UST yields keep climbing. Staff at the New York Fed estimate that every one percentage point rise in US and foreign interest rates subtracts USD150bn from US net primary income. The symbiosis is emerging in plain sight: rising UST yields feed the fiscal deficit and the current account deficit (see *Honey, Who Shrunk the US Income Surplus*, Liberty Street Economics, May 2026).

The AI boom conceals a rising US risk premium

The US equity market's phenomenal rally – achieved in the teeth of large twin deficits and rising interest rates – rests on a genuine foundation: extraordinary AI-led profit growth that is expected to sustain for years (Figure 7).

Fig. 7: US S&P 500, 10y UST bond yield and twin deficits



Note: For 2026, we use Nomura's forecasts for the twin deficits and year-to-date average for S&P 500 index and 10y UST bond yield.

Source: Bloomberg, CEIC and Nomura Global Economics.

There is no doubt that AI will revolutionize how everyone lives and works, and it has the potential to raise productivity substantially over the coming decade. However, rapid technological transformation carries its own risks. As the BIS warned in its *2026 Annual Economic Report*, “the canal mania of the 1830s, the British railway mania in the 1840s, the electrification exuberance of the late 1920s (roaring 20s) and the dotcom boom of the late 90s all shared one common trait: a genuine technological breakthrough that attracted capital in excess of what commercial returns could ultimately justify. These episodes ended with an eventual reversal in investment, inducing economy-wide recessions.”

Like every once-in-a-generation innovation, the AI revolution comes wrapped in uncertainty. Debate rages over whether the extraordinarily high returns on AI investment can hold, an answer that hinges on the speed and scale of adoption and on whether margins survive mounting competition from China's cheaper LLM models. Other obstacles crowd the AI buildout too: global scarcity of compute memory and electricity, cybersecurity vulnerabilities, regulation playing catch-up, job displacement and the potential for social backlash (see *The turbulent AI era is here. The choices we make now are critical*, Bill Gates, 26 August 2026).

There is good reason to believe AI will ultimately deliver strong productivity gains. Given the risks, though, the path there is unlikely to be a straight line up. The massive AI buildout has become a major engine of US GDP growth, yet it is also straining the economy along several seams: accelerating chip and electricity prices are feeding CPI inflation; surging imports of chips and tech equipment are widening the trade deficit; massive debt issuance by hyperscalers is pushing UST yields higher; and hiring of young workers is showing nascent signs of slowing (see *The AI Buildout and the Economy: Publicly Available Data to Assess AI's Impact*, Feds Notes, July 2026).

So, what happens if there is an AI setback?

To borrow from Warren Buffet, “only when the tide goes out do you discover who’s been swimming naked”; we suspect that, with rich US equity valuations and weaker economic fundamentals, an AI setback would trigger a large US equity correction. Amplified by the extreme foreign investor exposure to US equities, leverage and circular financing inside the AI ecosystem, that correction could morph into a global risk-off event.

We would expect the Fed to pivot swiftly from inflation to recession risk and slash rates; though under new leadership, the hurdle for returning to QE looks higher than in the past. US investors, who held 82% of US equities outstanding in 2025 and carry a natural home bias, would likely rotate from equities into Treasuries, and that dominant flow would drag UST yields down.

The most intriguing question is what foreign holders of US assets would do. Conventional wisdom says TINA – there is no alternative – to USD assets, given the size of the US economy, the depth and liquidity of its capital markets and the dollar’s global reserve status. History appears to agree: in major global risk-off events the broad USD index strengthens, even during the 2008 GFC that began in America itself. But as noted, other pillars of American exceptionalism have been eroding as the administration leverages – or, some would say, abuses – its exorbitant privilege through policies of coercion (see *The Cost of Geoeconomic Coercion*, IMF F&D Magazine, June 2026). Trust in US fiscal and trade policy, in the US security umbrella and, some would argue, in Fed independence has eroded.

There are hints the tide may already be turning. After the sweeping “Liberation Day” tariff announcement in April 2025, US markets delivered an unusual trifecta: equities, bonds and USD all fell together. The erosion of trust has only deepened since. As Canada’s prime minister put it in his now-famous Davos *speech* in January 2026: “Hegemons cannot continually monetize their relationships. Allies will diversify to hedge against uncertainty. They’ll buy insurance, increase options in order to rebuild sovereignty, sovereignty that was once grounded in rules but will increasingly be anchored in the ability to withstand pressure.”

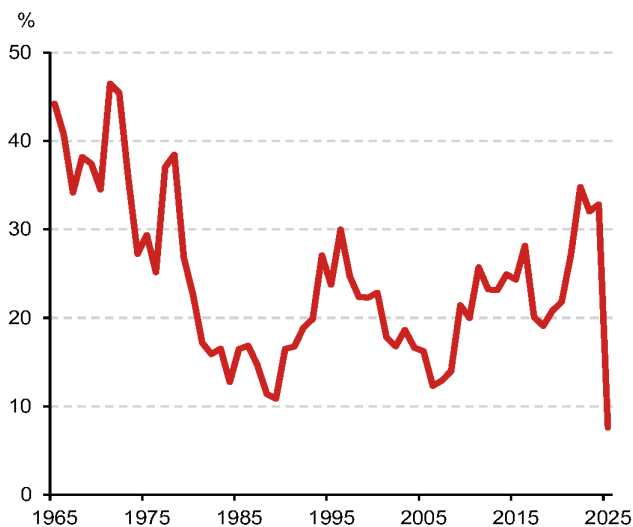
Creating a measure of US allies and foes

We have framed an AI setback as the trigger that unmasks America's rising risk premium, but other candidates exist (e.g., more extreme Treasury policy activism to suppress UST yields, whether through financial repression or pressure on the Fed to restart QE). Our objective is to debunk the assumed robustness of TINA to the USD, given the surge in US NIIP liabilities and the concentration of ROW NIIP assets in the US. Put simply: the ROW has built such a large concentration in USD assets, a moderate de-risking by foreign investors may be all that is needed to drive a depreciation of USD.

A large USD depreciation would require current US NIIP liabilities of USD21.3trn (as of March 2026) to fall sharply. Our simulation demonstrates why that outcome has become more plausible. First, though, we sort every foreign country holding USD assets into US allies or foes. To do so, we draw on United Nations General Assembly (UNGA) *voting data* covering over 5,000 resolutions across regular, special and emergency special sessions from 1965-2025 for some 190-odd countries. For each country in each year, we calculate the share of UNGA resolutions where it voted in line with the US (as opposed to voting against, abstaining or not voting) out of total resolutions. In aggregate, the share of countries voting with the US has declined noticeably, echoing the erosion of trust in US policies. (Figure 8).

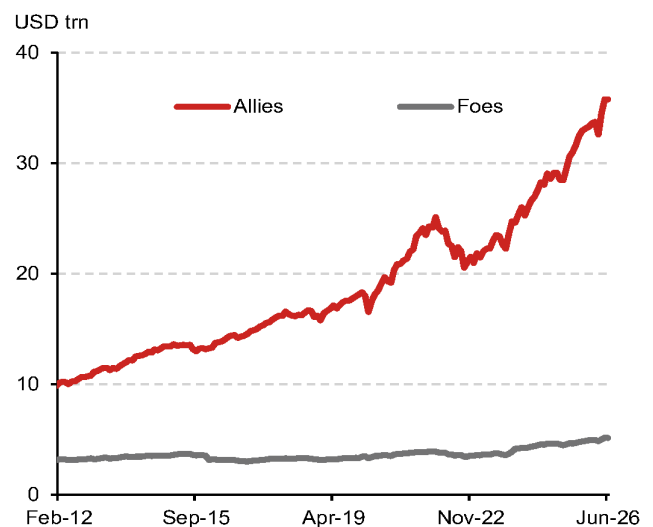
On a smoothed 3-year moving average basis, we classify the bottom 30% by share of votes in line with the US (i.e., those most frequently voting against) as US foes, and the remaining 70% as US allies. For some countries absent from the UNGA data, we used *Mapdis global relations and diplomacy* map distance as a supplementary source. We then apply our US allies-foes classification to the *US Treasury International Capital (TIC) System data* on foreign holdings of US portfolio assets by country, giving a breakdown of those liabilities over time into holdings by US allies and foes. For offshore financial centers missing from both the UNGA and Mapdis datasets, we split holdings evenly between allies and foes. Unsurprisingly, the foes' group has grown its USD portfolio holdings far more slowly than the allies' group: 64% versus 264% from 2012 to 2026 (Figure 9).

Fig. 8: Aggregated share of countries voting in line with the US



Note: Based on UNGA voting data covering over 5,000 resolutions across regular, special and emergency special sessions during the time period shown for some 190-odd countries. For each country in each year, we calculate the share of UNGA resolutions where it voted in line with the US out of total resolutions. We then take the average across all countries in each year to get the aggregated share.
Source: UNGA and Nomura Global Economics.

Fig. 9: US portfolio liabilities by US allies versus foes



Note: For US total portfolio liabilities, we sum up portfolio liabilities of long-term debt and equity securities, negotiable CDs and short-term securities based on US TIC data. On a smoothed 3-year moving average basis of the share of UNGA resolutions voted in line with the US out of the total resolutions for each country in each year, we classify the bottom 30% by share of votes in line with the US as US foes, and the remaining 70% as US allies. For countries absent from the UNGA voting data, we used *Mapdis global relations and diplomacy* map distance data. For offshore financial centers, international organizations and others missing from both the UNGA or Mapdis datasets, we split their holdings evenly between US allies and foes.
Source: UNGA, Mapdis, US TIC and Nomura Global Economics.

Simulating a foreign investor retreat from USD assets

Before running the simulation, it pays to look at how the US NIIP behaved during the GFC and the pandemic (Figure 10). During the GFC, US NIIP liabilities actually *increased* by USD2trn: the USD844bn decrease in US IIP liabilities was dwarfed by a USD2,866bn decrease in US IIP assets. In other words, US residents repatriated their foreign holdings far more aggressively than the ROW repatriated its US holdings. That behavior – the sheer scale of US resident repatriation in a crisis – is poorly understood, in our view, yet it is a chief reason TINA to the USD became conventional wisdom. The detail shows the main driver was US NIIP portfolio liabilities, which rose by USD1,423bn, while non-portfolio investments (direct investments, other investments, financial derivatives and reserve assets) mattered less. During the pandemic, US NIIP liabilities also increased, though the gap between US resident repatriation and ROW repatriation was narrower.

Fig. 10: US net international investment position (NIIP) during the global financial crisis and pandemic periods, USDbn

	Total			Portfolio investments			Non-portfolio investments		
	NIIP	Assets	Liabilities	NIIP	Assets	Liabilities	NIIP	Assets	Liabilities
GFC period									
Q2 2008	-1,834	21,014	22,848	-3,658	6,670	10,328	1,823	14,344	12,521
Q3 2008	-3,309	18,432	21,741	-4,504	5,374	9,879	1,195	13,058	11,863
Q4 2008	-3,995	19,424	23,419	-5,155	4,321	9,476	1,160	15,103	13,943
Q1 2009	-3,856	18,148	22,004	-5,081	4,087	9,168	1,225	14,061	12,836
Q1 2009 - Q2 2008	-2,022	-2,866	-844	-1,423	-2,583	-1,159	-598	-283	315
% growth	110.2	-13.6	-3.7	38.9	-38.7	-11.2	-32.8	-2.0	2.5
Pandemic period									
Q4 2019	-11,666	28,845	40,512	-8,639	13,124	21,764	-3,027	15,721	18,748
Q1 2020	-12,609	26,708	39,316	-9,414	10,821	20,235	-3,195	15,886	19,081
Q1 2020 - Q4 2019	-942	-2,138	-1,195	-775	-2,303	-1,528	-168	165	333
% growth	8.1	-7.4	-3.0	9.0	-17.5	-7.0	5.5	1.1	1.8
Latest data (Q1 2026)	-21,270	43,373	64,643	-18,197	19,210	37,406	-3,074	24,163	27,237

Note: The periods chosen reflect the peak to trough declines in US IIP total liabilities.

Source: CEIC and Nomura Global Economics.

If a major US-centered shock – such as an AI setback – were to unmask America's rising risk premium, we show why it is now more plausible for US NIIP liabilities to decrease rather than increase, as they did in the GFC and the pandemic. Our simulation focuses on US NIIP portfolio (equity and debt security) investments, which move most in risk-off events and form the largest component at USD18.2trn as of Q1 2026, or 85% of US NIIP (see last row in Figure 10). The background assumptions are as follows:

- **US IIP portfolio assets.** We consider four different magnitudes of US resident repatriation of IIP portfolio assets: 10%, 20% (like the pandemic), 30% and 40% (like the GFC).
- **US IIP portfolio liabilities – US allies or foes.** Using recent UNGA voting data, we decompose US IIP portfolio liabilities into country holdings by US allies (80%), foes (6%) and large offshore financial centers (14%), the intermediary business of which we assume is split evenly between the two camps. We assume US foes repatriate 12% of their US holdings, US allies a smaller 6%, and offshore financial centers receive 9% repatriation.
- **US IIP portfolio liabilities – diversification into the euro.** Despite structural fragmentation and the absence of a unified Eurobond market, the euro is the world's second-largest reserve currency and the euro area economy is less exposed to an AI setback. We assume 5% of US IIP portfolio liabilities diversify into euro assets.
- **US IIP liabilities – diversification into alternative assets.** With US policies more unpredictable and unreliable, including the danger of more radical measures to cap UST yields – such as financial repression or pressure on the Fed to restart QE – we assume 5% of US IIP portfolio liabilities diversify into gold, bitcoin and other crypto assets.

Figure 11 presents the results. Some may quibble over our assumptions but, in the broad

scheme of things, we believe the findings are revealing: US IIP portfolio liabilities have become so large that moderate percentage declines can now outstrip declines in US IIP portfolio assets, shrinking US NIIP liabilities and depreciating the USD. The results show that US IIP portfolio assets would need to fall by over 30% – a GFC-scale repatriation – to fully offset the decrease in US IIP portfolio liabilities.

Fig. 11: Simulation of US IIP portfolio assets and liabilities, USDbn

			US IIP: portfolio assets (USD19,210bn as of Q1 2026)			
			US resident repatriation			
			10%	20%	30%	40%
US resident repatriation (1)			1,921	3,842	5,763	7,684
US IIP: portfolio liabilities (USD37,406bn as of Q1 2026)	US foes repatriation	12%	276	276	276	276
	US allies repatriation	6%	1,802	1,802	1,802	1,802
	Repatriation to OFCs	9%	457	457	457	457
	Diversification into euro assets	5%	1,870	1,870	1,870	1,870
	Diversification into alternates	5%	1,870	1,870	1,870	1,870
	Total (2)		6,275	6,275	6,275	6,275
Change in US NIIP of liabilities (1-2)			-4,354	-2,433	-512	1,409

Source: CEIC and Nomura Global Economics.

Conclusion

We have argued that the AI boom is concealing a rising US risk premium. The standard rebuttal is that America's superpower status grants it the "exorbitant privilege" to run large deficits and pile up debt indefinitely. However, the symbiosis of rising UST yields feeding the fiscal deficit and now the current account deficit hints that this privilege has limits. The continuous financing by the ROW has swelled the US net international investment position (NIIP) of liabilities to USD21.9trn in 2025, or 71% of GDP. The scale becomes clearer with a simple exercise. The ratio of US NIIP liabilities to the sum of all ROW net creditor nations' NIIP assets has surged to 80%, a vivid sign of how concentrated the world's savings have been funnelled into USD investments.

So, what happens if there is an AI setback? Conventional wisdom says TINA – there is no alternative – to USD assets. We attempt to debunk the assumed robustness of TINA, given AI has concealed a rising US risk premium, and as foreign investors have built such a large concentration in USD assets.

It is true that, during the GFC and pandemic, US NIIP liabilities increased and the USD appreciated. However, less well understood is that US IIP liabilities did not increase; rather, US IIP liabilities decreased but were dwarfed by an even larger decrease in US IIP assets (i.e., US residents repatriated their foreign holdings more aggressively than the ROW repatriated its US holdings). That behavior – the sheer scale of US resident repatriation in a crisis – is poorly understood, in our view, yet it is an important reason why the conventional wisdom of TINA to the USD has become so ingrained.

Turning to the current conjuncture we run a simulation to show why it is now more plausible for US NIIP liabilities to decrease: the size of US IIP portfolio liabilities have become so large that moderate percentage declines can now outstrip declines in US IIP portfolio assets, shrinking US NIIP liabilities and depreciating the USD.

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